

CHAPTER 6

Without These Money Management Rules, You Can't Survive In Day Trading

Whenever a trader takes a trade, it can only have any one of the below five outcomes:

1. A breakeven
2. A small profit
3. A small loss
4. A big profit
5. **A BIG LOSS**

Except for the 5th point, all other outcomes will allow you to survive in the day trading business. But a big loss on any trade is an unacceptable sin in day trading. So, this chapter discusses the steps to avoid the big loss scenario.